

22AHCV00519 22AHCV00519

County: los-angeles

Division: Civil Law and Motion

Department: D

Hearing date: 2026-09-18

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Case Number: 22AHCV00519 Hearing Date: September 18, 2026 Dept: D

TENTATIVE RULING

Calendar: 14

Date: September 18, 2026

Case No: 22AHCV00519 Trial Date: Not yet set

Case Name: Vartanian, et al. v. Dourbetas, et al.

MOTIONS FOR PARTIAL JUDGMENT ON COURT TRIAL

[CCP § 631.8; 632]

Moving Party: Plaintiffs, Richard and Elvira Vartanian

Defendants, Lazaros Georgiadis ("Georgiadis"), Gabriel Angel Albanez ("Albanez") dba The Lending Capital (TLC), Gersom Ivan Torres ("Torres"), and Lending Star Capital, LLC (LSC)

Defendants/Cross-Complainants, Alex Dourbetas and Christina Dourbetas

Responding Party: n/a

RELIEF REQUESTED:

All parties move for judgment in their favor on the operative Complaint.

CAUSES OF ACTION: from Amended Complaint

- 1) Elder Financial Abuse
- 2) Intentional Infliction of Emotional Distress
- 3) Fraud
- 4) For Cancellation of Deed of Trust Pursuant to California Financial Code § 22750
- 5) Quiet Title

CAUSES OF ACTION: from First Amended Cross-Complaint

- 1) Declaratory Relief
- 2) Fraud and Concealment
- 3) Negligence
- 4) Elder Abuse

SUMMARY OF FACTS:

Plaintiffs Richard Vartanian and Elvira Vartanian allege that they are an elderly couple and that in December of 2019 defendant Lazaros Georgiadis (Lazaros), on behalf of defendant Lending Star Capital, offered plaintiffs an attractive reverse mortgage on their real property located in Altadena. At the time plaintiffs were in active Chapter 13 bankruptcy due to the fact that the subject property was under foreclosure by the second lienholder. Plaintiffs allege that Lazaros falsely represented himself as a licensed mortgage broker, sent a loan package, and, together with defendant Ivan Torres, proposed that plaintiffs could be provided with a bridge second mortgage loan until plaintiffs could obtain a reverse mortgage to pay off the second deed of trust, provided the plaintiffs would first exit Chapter 13 bankruptcy.

Plaintiffs allege that in January of 2020, Lazaros sent plaintiffs a quote for a reverse mortgage, which was a fabrication since defendants did not open any reverse mortgage case with any reverse mortgage lender, and that plaintiffs were pushed to obtain mandatory counseling and sign the mortgage loan documents, although plaintiffs informed defendants repeatedly that they had no ability to repay the proposed loan.

In February of 2020, upon receiving the escrow papers, plaintiffs learned the identity of the investors, defendants Alex Dourbetas and Christina Dourbetas, who were not licensed mortgage brokers, and it became clear to plaintiffs that the transaction was not a bridge loan at all, but a second mortgage backed by a deed of trust. Plaintiffs then noticed that the payee in the escrow documents had been left blank, and brought that to the attention of Jamie Aguilar, who emailed plaintiffs with a copy of the escrow documents with the Dourbetas defendants typed in as payee.

Plaintiffs allege that at the insistence of defendants they filed a motion for voluntary dismissal of their bankruptcy case. Over the next several months, Lazaros attempted to get plaintiff Richard Vartanian to sign reverse loan documents, falsely assuring plaintiff that his wife could be added later on, when she could not. Plaintiffs learned that Lazaros never opened a

reverse mortgage application for them.

In March of 2021, defendant Alex Dourbetas called plaintiffs and left a message stating, “we have a loan on your property, and you cannot pay for some time.” Dourbetas indicated he was considering foreclosing on the property in the next couple of days and wanted to give plaintiffs the opportunity to come up with some arrangement to make the loan. Plaintiffs attempted to meet with Dourbetas to come to an arrangement, but Dourbetas refused, stating that the account had been transferred to a collection agency, and on March 2, 2022, Dourbetas issued a notice of default, with a sale date set for July 12, 2022, which date has been postponed to August 2, 2022. Plaintiffs allege causes of action for elder abuse, IIED, fraud, cancellation of deed of trust, and quiet title.

On February 15, 2023 the Dourbetas defendants, as cross-complainants, filed and served a Cross Complaint against their co-defendants, alleging that the cross-complainants lent money to plaintiffs at the recommendation of the cross-defendants, who represented they had done proper due diligence as to plaintiffs’ suitability as borrowers, and falsely represented they were licensed to handle this sort of investment placement. Cross-complainants also allege that at no time prior to the subject transaction did the cross-complainants know that the Vartanian plaintiffs had requested a reverse mortgage from cross-defendants. The cross-complaint alleges causes of action for declaratory relief, fraud and concealment, and negligence.

ANALYSIS:

“After a party has completed his presentation of evidence in a trial by the court, the other party, without waiving his right to offer evidence in support of his defense or in rebuttal in the event the motion is not granted, may move for a judgment. The court as trier of the facts shall weigh the evidence and may render a judgment in favor of the moving party, in which case the court shall make a statement of decision as provided in Sections 632 and 634, or may decline to render any judgment until the close of all the evidence. The court may consider all evidence received, provided, however, that the party against whom the motion for judgment has been made shall have had an opportunity to present additional evidence to rebut evidence received during the presentation of evidence deemed by the presenting party to have been adverse to him, and to rehabilitate the testimony of a witness whose credibility has been attacked by the moving party. Such motion may also be made and granted as to any cross-complaint.” (CCP, § 631.8 subd. (a).)

“If it appears that the evidence presented supports the granting of the motion as to some but not all the issues involved in the action, the court shall grant the motion as to those issues and the action shall proceed as to the issues remaining. Despite the granting of such a motion, no final judgment shall be entered prior to the termination of the action, but the final judgment in such action shall, in addition to any matters determined in the trial, award judgment as determined by the motion herein provided for.” (CCP, § 631.8 subd. (b).) “If the motion is granted, unless the court in its order for judgment otherwise specifies, such judgment operates as an adjudication upon the merits.” (CCP, § 631.8 subd. (c).)

Issue No. 1: Whether The Bridge Loan Is a Consumer Loan or a Commercial Loan

A consumer loan is defined as “a loan, whether secured by either real or personal property, or both, or unsecured, the proceeds of which are intended by the borrower for use primarily for personal, family, or household purposes.” (Financial Code, § 22203.)

A commercial loan is defined as “a loan of a principal amount of five thousand dollars (\$5,000) or more, or any loan under an open-end credit program, whether secured by either real or personal property, or both, or unsecured, the proceeds of which are intended by the borrower for use primarily for other than personal, family, or household purposes.” (Financial Code, § 22502.)

The Vartanian's argue that the bridge loan obtained from the Dourbetas Defendants was a consumer loan, as it was used for personal, family or household purposes. They argue that the Vartanians, facing foreclosure, “filed for bankruptcy and were attempting to obtain a reverse mortgage when they were contacted by Lazaros and Torres.” (Vartanian Mot., p. 5:15-16.) The

Vartanians assert that the only reason they “even agreed to the bridge loan was because Lazaros and Torres promised them that they would obtain a reverse mortgage on their behalf and the bridge loan was the only way to save their home.” (Vartanian Mot., p. 5:16-17.) Lastly, the Vartanian’s assert that they “never received any of the proceeds from the bridge loan.” (Vartanian Mot., p. 5:18-19.)

In their motion, the Dourbetas Defendants assert that the bridge loan was used to pay off an antecedent loan for “legal expenses associated with litigation for Mr. Vartanian’s aircraft business.” (Dourbetas Mot., p. 5:9-10.) Mr. Vartanian testified that he incurred the original second loan to cover legal fees and expenses arising from litigation related to his airplane business. (Vartanian Depo., pp. 71:2-73:3.) He testified that the litigation “massively disrupted our finances and had to the get the second mortgage.” (Vartanian Depo., p. 72:22-23.)

“It is clear that a large number, if not the vast majority, of individuals who obtain a mortgage do so for the purpose of purchasing a personal or family residence. This would fall within the literal terms of [Financial Code section 22203’s] definition of debt that is acquired “for personal, family, or household purposes.” (Davidson v. Seterus, Inc. (2018) 21 Cal.App.5th 283, 298.) Notwithstanding, California courts and Federal courts applying California law use a primary purpose test to classify loans, examining the “transaction as a whole” and “paying particular attention to ‘the purpose for which the credit was extended in order to determine whether the transaction was primarily consumer or commercial in nature.’” (Slenk v. Transworld Systems, Inc. (2001) 236 F.3d 1072, 1075.) This inquiry requires courts to “elevate[] substance over form,” the Court in Slenk holding that “neither the lender’s motives nor the fashion in which the loan is memorialized are dispositive of this inquiry.” (Ibid.) Courts must therefore “look to the substance of the transaction and the borrower’s purpose in obtaining the loan, rather than the form alone.” (Ibid.)

Here, the Vartanians obtained the bridge loan to pay off their second mortgage loan which was incurred for commercial business litigation expenses. Thus, the second mortgage was unambiguously obtained for a business or commercial purpose, rather than a personal, family or household purpose. When the primary purpose of a loan is to pay off a prior loan, the classification of the prior loan’s purpose is key to classifying the new loan. (See Slenk, supra, 236 F.3d at p. 1075.) Thus, as the primary purpose of the bridge loan was to pay off the second mortgage loan, the bridge loan inherits the second mortgage’s commercial purpose.

Accordingly, the Court concludes that the bridge loan is a commercial loan, not a consumer loan.

To the extent any findings or conclusions made in this ruling conflict with those set forth in the prior Statement of Decision, the ruling supersedes the prior Statement of Decision.

Issue No. 2: Whether the Dourbetas Defendants Need to be Licensed

“No person shall engage in the business of a finance lender or broker without obtaining a license from the commissioner.” (Financial Code, § 22100 subd. (a).)

The Dourbetas Defendants assert that they do not need to be licensed as they were not “in the business” of making loans. Pursuant to the Business and Professions Code, in the business means “[t]he making of eight or more loans in a calendar year.” (Bus. & Prof. Code, § 10131.1 subdivision (b)(1)(C).) In support of this contention, the Dourbetas Defendants present expert testimony from Pamela Sosa (“Sosa”). Sosa testified that the Dourbetas’ were not required to have a license for two distinct reasons: (1) they were represented by a licensed broker, Mr. Albanez, at the time the transaction was conducted; and (2) they had not made eight or more loans in a calendar loan. (Sosa Depo., pp. 10:21-11:8.)

The Vartanians argue that Albanez and his office were not involved in the negotiations of the bridge loan. At trial, Albanez testified that he was not involved with the Dourbetas’ hard money loan. (Trial Transcript, p.18:11-13.) By contrast, Torres and Georgiadis testified that they helped arrange the loan and were involved in the negotiations. (Trial Transcript, pp. 23:11-16, p. 48:20-27.) Neither Torres nor Georgiadis are licensed brokers. (Vartanian’s Mot., p. 4:10-11.) Thus, based on the testimony from trial, the Court does not find that the Dourbetas’ were represented by a licensed broker at the time the transaction was

conducted.

The Vartanians also argue that the definition of those “in the business of” on which Sosa relies does not apply here. Business and Professions Code section 10131.1 provides that, “as used in this section, [i]n the business means” “[t]he making of eight or more loans in a calendar year.” (Bus. & Prof. Code, § 10131.1 subd. (b)(1)(C).) Because the Financial Code does not separately define the phrase “in the business of,” the Court finds that the Business and Professions Code definition provides useful guidance in interpreting the relevant Financial Code provision. Moreover, the testimony and evidence presented does not demonstrate that the Dourbetas’ engaged in a regular commercial pattern of making loans, as opposed to the occasional investment-driven lending transaction. Accordingly, based on the definition in the Business and Professions Code, the expert testimony of Pamela Sosa, and the evidence and testimony presented at trial, the Court finds that the Vartanians are not “in the business of” making commercial loans.

Thus, the Court concludes that the Dourbetas Defendants did not need a license.

Issue No. 3: Penalty Provisions

Lastly, Plaintiffs argue that Torres and Georgiadis willfully violated the Financial Code and argue that the Dourbetas loan should be void and unenforceable under Financial Code section 22750. As discussed above, the Court has concluded that the bridge loan is a commercial loan, not a consumer loan. Accordingly, Section 22750 does not apply.

Moreover, as Georgiadis, Torres, Albanez dba The Lending Capital, and Lending Star Capital correctly point out in their motion, there is no private right of action for violations of the licensing requirements under Financial Code section 22100. In *Lagrisola v. North American Financial Corp.* (2023) 96 Cal.App.5th 1178, the plaintiff brought a cause of action against defendant, a Nevada based mortgage lender, based on the allegation that the defendant lacked a license to lend money to California borrowers. (*Lagrisola*, supra, 96 Cal.App.5th at p. 1196.) The plaintiff argued that the “law specifically commands that an unlicensed lender is to forfeit all interest and finance charges made on any unlicensed loan.” (*Ibid.*) The Court of Appeal found that the statutory scheme does not contemplate a private right of action to pursue violations of Financial Code sections 22750 or 22100. (*Id.*, at pp. 11195-1198.) The Court of Appeal noted that “when regulatory statutes, like the Financial Code, provide a comprehensive scheme for enforcement by an administrative agency, the courts ordinarily conclude that the Legislature intended the administrative remedy to be exclusive unless the statutory language or legislative history clearly indicates an intent to create a private right of action.” (*Id.* at p. 1196.) The Court found that Financial Code section 22752, subdivision (a), did not support a private right of action, particularly when read in context with Financial Code section 22713, which specifically provides that the commissioner or Attorney General may bring an action to enjoin a person from violating a provision of the California Financing Law (§§ 22000-2278.1.) (*Id.*, at pp. 1196-1198.)

Accordingly, there is no private right of action to pursue violations of the licensing requirements set forth in Financial Code section 22100 or the penalty provisions applicable to consumer loans under Financial Code section 22750 or commercial loans under Financial Code section 22780.

Thus, based on the foregoing, Richard and Elvira Vartanian's Motion for Partial Judgment is DENIED.

Alex Dourbetas and Christina Dourbetas's Motion for Partial Judgment is GRANTED.

Lazaros Georgiadis, Gersom Ivan Torres, Gabriel Angel Albanez dba The Lending Capital, and Lending Star Capital's Motion is GRANTED.

RULING:

Plaintiffs Richard and Elvira Vartanian's Motion for Partial Judgment is DENIED.

Defendants/Cross-Complainants' Alex Dourbetas and Christina Dourbetas' Motion for Partial Judgment is GRANTED.

Defendants' Lazaros Georgiadis, Gersom Ivan Torres, Gabriel Angel Albanez dba The Lending Capital, and Lending Star Capital's Motion is GRANTED.

These rulings will also serve as the Court's Statement of Decision pursuant to CCP § 632 as required by CCP § 631.8(a).

Counsel for Alex and Christina Dourbetas is ordered to prepare a proposed order and submit it on eCourt by 2:00 pm today in accordance with this ruling.

DEPARTMENT D IS CONTINUING TO CONDUCT AND ENCOURAGE

VIDEO APPEARANCES

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